

Tower Semiconductor Ltd

Agnostic exposure to optical scaling – Initiate at OW

Tower Semi is the leading silicon photonics foundry. Optical is set to be one of the fastest-growing semi end markets and Tower Semi is a key facilitator. Competition is coming but Tower Semi is well placed and offers agnostic exposure. We initiate at OW with a \$310 price target.

Silicon photonics enabler. We see Tower Semi as the leading silicon photonics foundry evidenced by its leading market share in pluggable and process performance from two decades of ecosystem development. We expect optics to be one of the fastest growing semi end markets as connectivity for AI is seeing ever increasing demand. Its accumulated knowledge, strong customer relationships, open platform and geographically diverse manufacturing footprint put it in a strong position to benefit. LightCounting expects Ethernet units to grow at a 24% CAGR from 2026 to 2031. With die sizes expected to grow as well, we expect industry PIC wafer growth (a proxy for Tower's serviceable addressable market, or SAM) to be faster.

Competition is coming. Given the industry's attractive growth and margins, competitors are aiming to capture their share of the market. STM has secured AWS business, TSMC is targeting CPO with its COUPE platform, whilst UMC, Samsung, Intel, and GFS are all ramping up products and platforms. Architecture advances, such as NPO and CPO in the coming years, create opportunities for these new entrants. We do not expect Tower to maintain its current market share levels but we expect it to remain the dominant supplier given its broad portfolio and open platform. Strong market growth means Tower should offset any potential share loss. The c300m\$ of prepayments it has already received should support at least \$1.3bn of revenue in 2027 (we view as a floor and model \$1.6bn) and show strong relationships with more expected in early 2027. Our main concern is holding ASPs given increasing competition.

Agnostic exposure to photonics. We initiate coverage at OW with a \$310 PT based on a 30x 2028 P/E multiple. Our multiple is justified by c60% earnings growth and a significantly evolving business mix, as we estimate silicon photonics (SiPho) becomes 62% of revenue by 2028. We sit HSD ahead of consensus revenues for 2027/28, driven by higher SiPho revenues. We see Tower reaching \$500m of SiPho revenue by 4Q27 at the latest but think this is conservative. SiPho helps drive a group revenue CAGR of 25% to 2030, one of the strongest CAGRs in our coverage (19% on average). We see Tower as an agnostic play on optical given it can support many different products and its visibility is strong.

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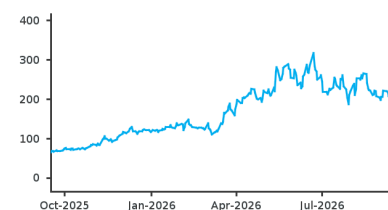
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Initiating Coverage

TSEM.O/TSEM US	OVERWEIGHT from Not Rated
European Technology Hardware	NEUTRAL Unchanged
Price Target	USD 310.00 from N/A
Price (16-Sep-26)	USD 202.20
Potential Upside/Downside	+53.3%
Source: Bloomberg, Barclays Research	

Market Cap (USD mn)	22854
Shares Outstanding (mn)	113.03
Free Float (%)	92.91
52 Wk Avg Daily Volume (mn)	2.0
Dividend Yield (%)	N/A
Return on Equity TTM (%)	9.91
Current BVPS (USD)	27.22
Source: Bloomberg	

Price Performance	Exchange-Nasdaq
52 Week range	USD 319.94-64.83



Source: LSEG Data & Analytics, Bloomberg
[Link to Barclays Live for interactive charting](#)

European Technology Hardware

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TSEM.O: Financial and Valuation Metrics EPS (USD)

FY Dec	2024	2025	2026	2027	2028
EPS	2.15A	2.29A	3.99E	7.53E	10.43E
Previous EPS	N/A	N/A	N/A	N/A	N/A
Consensus EPS	1.85A	1.94A	3.87E	6.93E	9.61E
P/E	94.0	88.3	50.7	26.9	19.4

Consensus numbers are from Bloomberg received on 17-Sep-2026; 12:50 GMT

Source: Barclays Research

European Technology Hardware

NEUTRAL

Tower Semiconductor Ltd (TSEM.O)

OVERWEIGHT

Income statement (\$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	1,566	1,966	2,893	3,787	34.2%
EBITDA	497	763	1,343	2,010	59.3%
EBIT	194	412	865	1,399	93.1%
Pre-tax income	240	467	925	1,369	78.6%
Net income	220	402	791	1,154	73.6%
Net income (adj)	260	456	861	1,194	66.2%
EPS (reported) (\$)	1.94	3.51	6.91	10.09	73.2%
EPS (adj) (\$)	2.29	3.99	7.53	10.43	65.8%
Diluted shares (mn)	114	114	114	114	0.2%
DPS (\$)	0.00	0.00	0.00	0.00	N/A
Margin and return data	2025A	2026E	2027E	2028E	Average
Gross margin (%)	23.2	31.7	40.4	45.0	35.1
EBITDA margin (%)	31.8	38.8	46.4	53.1	42.5
EBIT margin (%)	12.4	21.0	29.9	36.9	25.1
Pre-tax margin (%)	15.3	23.8	32.0	36.2	26.8
Net margin (%)	14.0	20.5	27.2	30.4	23.0
Net (adj) margin (%)	16.5	23.2	29.6	31.4	25.2
ROIC (%)	7.0	11.7	19.1	22.9	15.2
ROA (%)	6.4	10.2	16.6	19.8	13.3
ROE (%)	8.9	13.8	21.0	22.7	16.6
Balance sheet and cash flow (\$mn)	2025A	2026E	2027E	2028E	CAGR
Tangible fixed assets	1,463	1,908	2,444	2,969	26.6%
Intangible fixed assets	0	8	8	8	N/A
Cash and equivalents	235	120	353	1,092	66.8%
Working capital	356	341	443	454	8.5%
Inventories	257	243	265	285	3.6%
Accounts receivable	223	220	288	311	11.8%
Accounts payable	124	121	111	143	4.8%
Total assets	3,322	3,935	4,795	6,101	22.5%
Short and long-term debt	162	129	103	66	-25.7%
Total liabilities	418	619	692	812	24.8%
Shareholders' equity	2,919	3,321	4,112	5,266	21.7%
Change in working capital	-26	243	8	114	N/A
Cash flow from operations	395	1,032	1,271	1,875	68.0%
Capital expenditure	-437	-786	-1,013	-1,136	N/A
Free cash flow	-41	246	259	739	N/A
Change in cash	-37	-113	233	739	N/A
Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (reported) (x)	N/A	57.6	29.3	20.0	35.6
P/E (adj) (x)	88.3	50.7	26.9	19.4	46.3
EV/sales (x)	14.5	11.6	7.8	5.8	9.9
EV/EBITDA (x)	45.8	29.9	16.8	10.8	25.8
EV/EBIT (x)	117.2	55.4	26.1	15.6	53.6
P/FCF (x)	-304.2	105.0	98.0	30.9	-17.6
Equity FCF yield (%)	-0.3	1.0	1.0	3.2	1.2
P/BV (x)	7.9	7.0	5.6	4.4	6.2
Dividend yield (%)	0.0	0.0	0.0	0.0	0.0
Equity FCF per share (\$)	-0.66	1.93	2.06	6.54	2.47

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (16-Sep-2026) **USD 202.20**
Price Target **USD 310.00**

Why OVERWEIGHT?

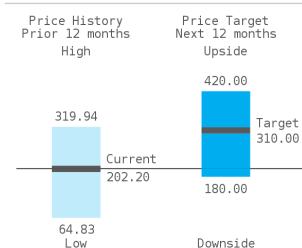
We see Tower Semi as an agnostic way to gain exposure to optics, one of the fastest-growing semi end markets driven by increasing AI demand for connectivity. Its accumulated knowledge, strong customer relationships, open platform and geographically diverse manufacturing footprint put it in a strong position to benefit.

Upside case **USD 420.00**

We assume faster end-market growth with SiPho by 2028, driven by earlier NPO/CPO adoption, larger PIC die sizes and firmer ASPs. We also assume Tower holding more of the SiPho market than our base case assumes.

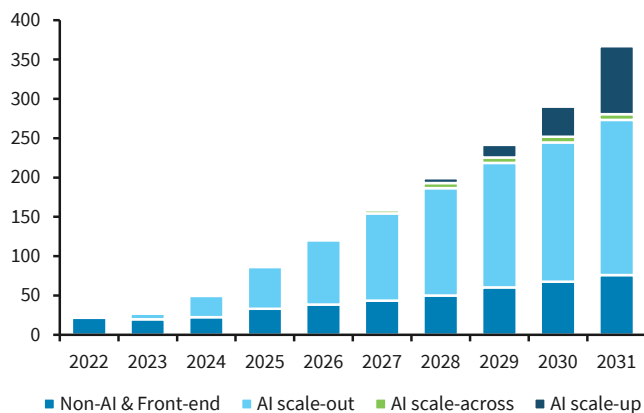
Downside case **USD 180.00**

We assume slower end-market growth, as NPO/CPO adoption slips and PIC die sizes are optimised rather than growing. We also assume larger share losses to competitors, with new entrant pricing pressuring ASPs and growing. We also assume larger share losses.

Upside/Downside scenarios

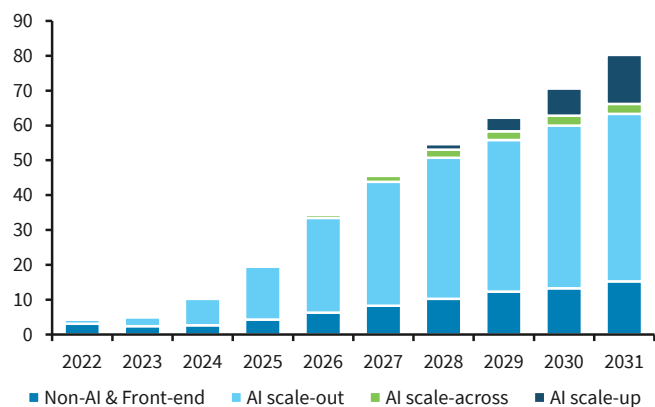
Story in 6 charts

FIGURE 1. Ethernet market by application in units (mn)



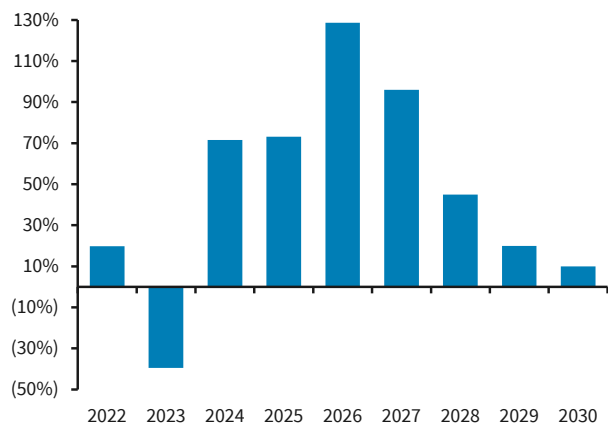
Only 100G and higher speed products
Source: LightCounting, Barclays Research

FIGURE 2. Ethernet market in sales (\$bn)



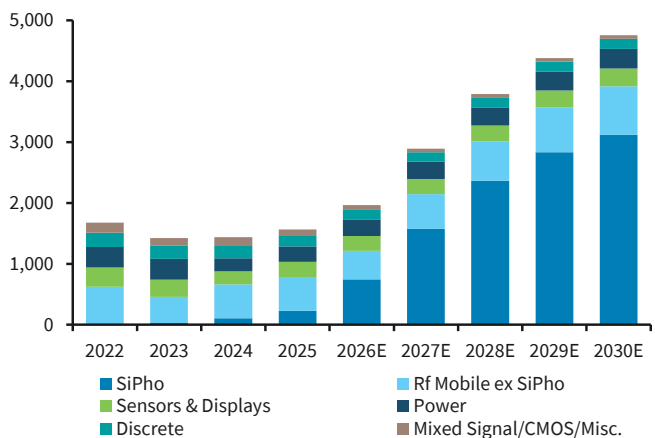
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Source: LightCounting, Barclays Research

FIGURE 3. RF infra growth (%)



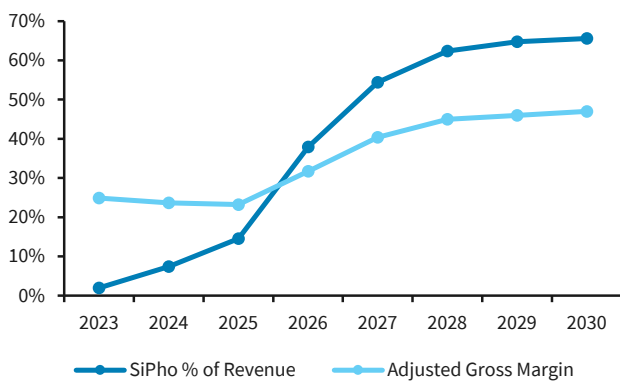
RF infra includes SiPho
Source: Barclays Research

FIGURE 4. Segment revenue (US\$m)



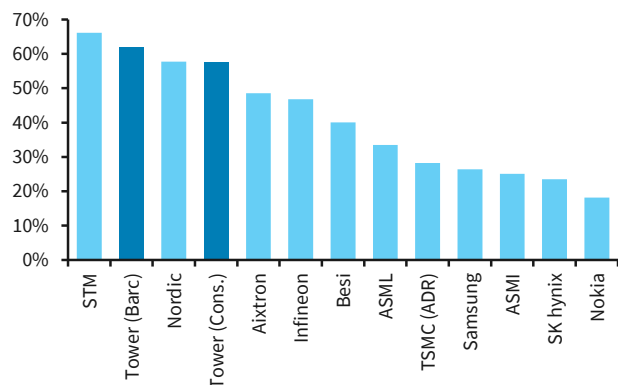
Source: Barclays Research

FIGURE 5. SiPho drives gross margin expansion (%)



Source: Barclays Research.

FIGURE 6. 26-28 EPS CAGR Tower vs broader tech hardware coverage



Source: Bloomberg, Barclays Research.

Silicon photonics enabler

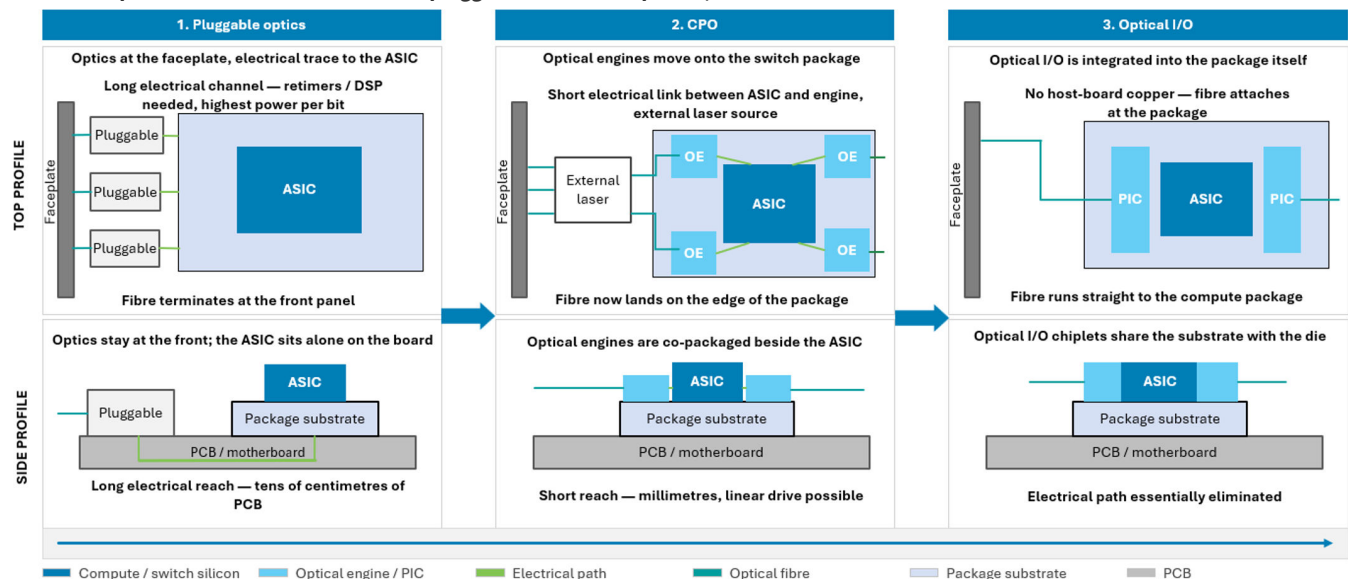
We see Tower Semi as the leading silicon photonics foundry evidenced by its leading market share in pluggable and process performance from two decades of ecosystem development. We expect optics to be one of the fastest growing semi end markets as connectivity for AI is seeing ever increasing demand. Tower's accumulated knowledge, strong customer relationships, open platform, geographically diverse manufacturing footprint and leading technology put it in a strong position to benefit.

What is silicon photonics?

Silicon photonics, or SiPho, is a technology that uses light instead of electrical signals to transfer data. It combines several optical components onto a single chip called a photonic integrated circuit, or PIC. When data is transmitted, a modulator converts the incoming electrical data into changes in laser light, while tiny pathways called waveguides guide the light towards an optical fibre. At the receiving end, a photodetector converts the light back into an electrical signal enabling the data to continue through the system for processing.

SiPho is increasingly used in AI data centers to connect GPUs, servers and switches and allow large volumes of data to move quickly between them. AI workloads require data to travel not only between the data center and the outside network, known as north-south traffic, but increasingly between servers and racks within the data center, known as east-west traffic. The rapid growth in east-west traffic requires faster connections with higher bandwidth, lower latency and reduced power consumption. This is driving the use of SiPho in optical transceiver modules that currently support data transmission speeds of up to 1.6Tbps, with faster products expected in the future. SiPho PICs are also expected to support next-generation near-packaged and co-packaged optical solutions, which move the optical components closer to the main processing or switching chip to deliver greater bandwidth density and improved power efficiency.

FIGURE 7. Optical Interconnect architecture: pluggables -> CPO -> Optical I/O



Source: Barclays Research

In telecommunications, SiPho is primarily used in optical transceivers and networking equipment supporting high-speed data transmission across metro, regional and long-haul fibre networks. Its applications include interconnecting telecom nodes and supporting fixed broadband and mobile-network infrastructure, where it enables high-bandwidth transmission over long distances with relatively low signal loss.

Why is it needed?

Data has traditionally been transmitted using copper wires. However, AI data centers require rapidly increasing amounts of data to move between GPUs, servers and switches, with optical connections now transitioning from 800Gbps to 1.6Tbps. Copper has limits on the speeds it can support depending on the distance. At these higher speeds, copper experiences greater signal loss and requires additional components to maintain signal quality, increasing power consumption, heat generation and system complexity. SiPho addresses this limitation by converting electrical data into light and transmitting it through optical fibre, allowing more data to travel faster and over longer distances with lower signal loss.

Quick history

SiPho developed through several distinct commercial phases. Bookham Technology was among the earliest companies to commercialise silicon-based PICs, launching products based on its silicon-on-insulator platform in 1998 for telecom-network functions such as optical attenuation and signal management. Luxtera subsequently brought silicon photonics into computing and data center connectivity, beginning with its Blazar 40G active optical cable in 2007 and later expanding into 100G transceivers. In 2014, Acacia Communications extended SiPho into coherent metro and long-haul networks through its 100G coherent CFP module, combining a SiPho PIC with a purpose-built coherent DSP in a compact pluggable format. In 2015, IBM demonstrated a fully integrated wavelength-multiplexed 100Gbps SiPho PIC that placed optical components alongside CMOS electronic circuits on the same silicon chip, highlighting the potential for closer integration of photonics and electronics. Intel subsequently helped establish SiPho as a scalable, high-volume data center technology in 2016, when it began volume production and shipments of 100G PSM4 and CWD4 optical transceivers for switch-to-switch connectivity, supported by its 300mm manufacturing platform and automated wafer-level testing capabilities.

The technology has since evolved from relatively simple telecom components and 40G optical cables into highly integrated 100G, 400G and 800G transceivers. Its next stage is being driven by AI infrastructure, where rising bandwidth and power requirements are encouraging a transition toward 1.6T modules, NPO and eventually CPO where the optical engine is integrated onto the same substrate as the switch ASIC and, later, alongside GPUs and accelerator chips.

The leading SiPho foundry

Tower provides its high-volume SiPho process platform (200mm and 300mm) to its customer to manufacture photonic integrated circuits (PIC). Its open foundry platform is available to all SiPho customers unlike competing closed processes that are offered only to certain customers or restricted to low volume prototyping. It has established a leading position in 1.6T optical transceivers and also demonstrated a new technology achieving 400Gbps/lane data transmission paving the way for next generation 3.2T optical transceivers.

One of the fastest growing semi end markets

Given LLMs continue to increase in size, and bandwidth is struggling to keep up, optics are set to be increasingly used in data centres to connect racks together (scale out) and in time GPUs (scale up), in addition to continued growth in connecting data centres (scale across). This demand could be increased further if memory usage is reduced as a way to manage costs. Thus optics, and in particular silicon photonics, are set to be one of the fastest growing semi markets over the next five years.

[LightCounting](#) expects SiPho to become a mainstream optical-connectivity technology, with SiPho based transceivers accounting for more than 50% of the approximately \$40bn global optical-transceiver market in 2026. At the component level, LightCounting forecasts the optical-chip market across transceivers, AOCs, LPO, LRO, NPO and CPO to grow from approximately

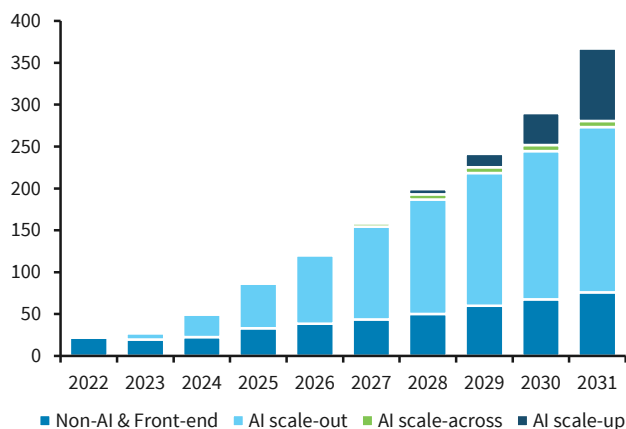
\$4bn in 2025 to \$15bn in 2031, implying a CAGR of c.25%. Within this market, SiPho PIC revenue is expected to increase from c.\$1.3bn in 2025 to c.\$6.3bn, or 42% in 2031, implying CAGR of c.30%.

The growth of SiPho is not expected to displace InP entirely, as SiPho solutions generally continue to require InP-based lasers and may also use InP optical amplifiers and high-performance modulators. LightCounting therefore expects InP chips to remain a significant part of the market, generating approximately \$6.9bn of revenue in 2031.

Beyond 2031, optical connectivity is expected to move progressively closer to processors, expanding from scale-out networks today into higher-bandwidth scale-up networks by the end of this decade and potentially scale-in chip-to-chip or chiplet-to-chiplet connectivity by the middle of the next decade. This broader shift from copper to optical interconnects explains why large CMOS foundries such as TSMC and Samsung are investing in SiPho. Their interest extends beyond the forecast \$6.3bn SiPho-chip market to the technology's potential role in the longer-term evolution of the broader semiconductor industry. LightCounting only assumes that 10-15% of all scale-up interconnects migrate to NPO/CPO by 2030-31, which could be conservative, in our view. If it is, then optical port per GPU could increase materially as would PIC demand.

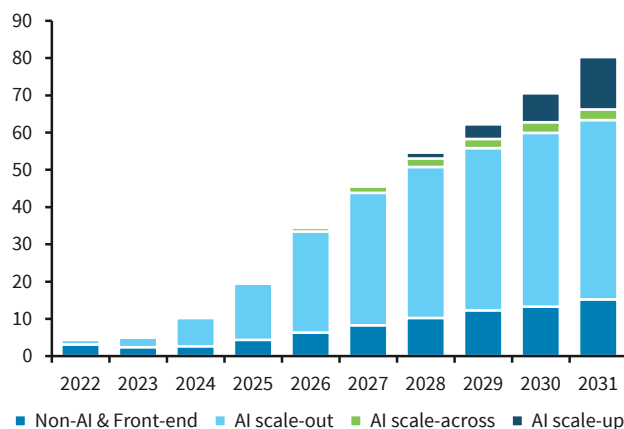
According to July LightCounting data, total shipments for the Ethernet market (100G+) is expected to grow from 25mn units in 2022 to 367mn in 2031, while total sales are expected to increase from \$4bn in 2022 to \$80bn in 2031. AI scale-out remains the largest segment, while AI scale-up expands fastest, with a 413%/198% yoy unit growth in 2027 and 2028, respectively. AI-related demand is estimated to be c79% of units in 2031, compared to c62% in 2025.

FIGURE 8. Ethernet market by application in unit (mn)



Only 100G and higher speed products
Source: LightCounting, Barclays Research

FIGURE 9. Ethernet market in sales (\$bn)



Only 100G and higher speed products
Source: LightCounting, Barclays Research

Future opportunities

We do not believe Tower Semi is standing still. We see it exploring and developing technology in a number of areas to be able to support future customer roadmaps:

- **NPO/CPO.** Pluggables are the current dominant technology for interconnects within the data centre. However, pluggables still leave a relatively material distance that needs to be traversed electrically through copper. To boost speeds and reduce power consumption the industry is seeking to bring fibre closer to the chip. NPO, near packaged optics, will see optical engine (that converts the signal from light to electrical) on to the interposer reducing the electrical trace materially. CPO, co-packaged optics, will bring the optical engine next to

the chip reducing the electrical trace even further. For Tower, we see its technology well placed to provide at least PICs for these new architectures and potentially more. Given increasing speed requirements, Tower is likely to see some growth in the size of PICs as well, which would drive further wafer demand.

- **Heterogeneous integration.** PICs cannot generate light themselves as silicon is not able to. The light in these modules is therefore generated by a laser supplied by another company (like a Lumentum). However, Tower signed a multi-year supply agreement with IQE to secure InP epitaxial wafers. We see this as a way for Tower to provide the laser component in modules as well which can increase Tower's share of the BOM. It is likely early days but this is an interesting opportunity for Tower to further cement its position as the leading SiPho foundry but also widen its offering for customers. Supporting this view, Tower and NewPhotonics recently announced the start of high-volume shipments of laser-integrated optical engine PICs for AI infrastructure, suggesting Tower's laser integration strategy is beginning to move into commercial production. Using OpenLight's PDK customers can fabricate lasers, modulators and amplifiers into a single monolithic PIC.
- **Advanced packaging.** TSMC's COUPE plans have raised expectations of advanced packaging being used to improve optical engine performance, specifically using hybrid bonding. We see Tower making efforts to ensure it can offer the full portfolio for customers future roadmaps and has been working on new technologies such as hybrid bonding and TSV-enabled integration.

Competitive Landscape

With extraordinary demand for optical transceivers driven by AI data center architectures, Tower is strongly positioned in SiPho foundry manufacturing, particularly in 1.6T optical transceiver. The company has started volume production of 1.6Tbps SiPho products for multiple lead customers and is also collaborating with NVIDIA to support 1.6T data center optical transceivers for AI infrastructure. However, competition is intensifying as peers such as TSMC, GlobalFoundries, Intel, UMC, Samsung, STM and others increase investments in SiPho and next-generation optical interconnect technologies.

GlobalFoundries could be considered Tower's closest open-foundry competitor today but more competition is coming. TSMC, Intel, Samsung and STMicroelectronics could become increasingly relevant as the industry migrates towards NPO and CPO. These architectures do not eliminate demand for PICs and could expand Tower's addressable market. However, they shift competitive differentiation from the standalone photonics process towards integration of the PIC with electronic ICs, lasers, fibre attachment and advanced packaging. Larger foundries and vertically integrated IDMs may therefore benefit from economies of scale and broader integration capabilities. Tower's longer-term competitive position will depend on whether it can extend its current leadership in pluggable-transceiver PICs into NPO and CPO while maintaining technology performance, manufacturing yields and customer neutrality. Despite this, we expect Tower to retain its dominant position, given its leading technology, customer relationships and open platform.

- **TSMC (Overweight)** is competing in the SiPho space through its COUPE (Compact Universal Photonic Engine) technology which integrates Photonic Integrated Circuits (PICs) and Electronic Integrated Circuit (EICs) into a single chip photonic engine and can be co-packaged with HPC chip. The technology reportedly achieved 200Gbps data transmission in 2025, can reduce data transmission power consumption in data centers by more than 50% and can reduce latency by 10 times compared with pluggable solutions. It is already in production in 2026 for customers such as NVIDIA and Marvell although no revenue contribution has been disclosed yet.
 - **Risk to Tower.** We do see TSMC as a fierce competitor, particularly for CPO and given its strong customer relationships; it is in a great position to win share as CPO adoption increases. However, our supplier checks suggest that whilst this is happening, it will take some time to ramp up.
- **Global Foundries (not covered)** claims to have become the world's largest pure-play SiPho foundry by revenue post-AMF acquisition in Nov-25, highlighting rising competitive intensity for Tower's SiPho platform. GF reported over \$200mn SiPho revenue in 2025 (doubled YoY), expecting it to be over \$400mn in 2026 (doubling again YoY) and targeting an annualised revenue run rate of over \$1bn by end of 2028 (accelerating its earlier \$1bn target by 2030) and over \$2bn by 2030 as it is expecting optical networking wafer SAM to grow at a CAGR of c.40% from 2025 to 2030. GFS can manufacture SiPho in both the US and soon Singapore.
 - **Risk to Tower.** Global Foundries is a significant competitor but its scale is smaller than Tower's today, even just looking at relative SiPho revenues. Tower exited 2Q26 at a \$680m annualised SiPho run-rate and is targeting a \$1bn run-rate by 4Q26. GF, by contrast, expects SiPho revenue exceeding \$400m in 2026 and exceeding \$1bn by end of 2028.
- **UMC (not covered)** is also emerging as a competitor on the SiPho platform as it delivered the first mass produced SiPho wafers from its 300m fab in Jul-26, which achieved production-level yield, reliability and was qualified by an unnamed leading cloud-infrastructure

customer for volume deployment. It is also aiming to provide its SiPho platform available for customer product development in 2027.

- **Risk to Tower.** UMC is ramping 12" capacity and expects to have a PDK in 2027. Thus it is too early to know how competitive its products could be, in our view.
- **Intel (Equal Weight, covered by Tom O'Malley).** While the majority of Intel's manufacturing capacity continues to support its internal products, the company is expanding its foundry services to external customers to capture growing demand from AI and high-performance computing. Within SiPho, Intel divested its pluggable optical-transceiver module business to Jabil in 2023 but retained its underlying SiPho technology and shifted its focus towards higher-value photonic components and optical I/O chiplets. At OFC 2026, Intel provided an update on its Optical Compute Interconnect, or OCI, chiplet roadmap, targeting end-to-end energy efficiency of below approximately 5pJ/bit, bandwidth density of more than 1Tbps/mm and optical reach of tens of metres for AI scale up connectivity. The company is therefore repositioning its SiPho business away from merchant pluggable transceivers and towards optical I/O chiplets that can be co-packaged alongside CPUs, GPUs and other accelerators. However, Intel has not yet disclosed a firm volume-production timeline, named commercial customer or revenue target for its OCI platform.
 - **Risk to Tower.** Intel is a longer term competitor, in our view. Intel seems to be targeting future architectures that may not become mainstream until next decade. Thus we don't see it as a major threat to Tower Semi in the near term.
- **STMicroelectronics (Equal Weight)** is ramping up its SiPho business with its proprietary PIC100 platform, manufactured on 300 mm wafers at its Crolles facility in France. PIC100 entered high-volume production in Mar-26 and currently targets 800G and 1.6T optical transceivers used in AI data centers. STM plans to increase its SiPho production capacity by more than fourfold by 2027, supported by long-term customer capacity commitments and a multi-year strategic collaboration with AWS. The company is also developing the PIC100-TSV platform for near-packaged and co-packaged optics, alongside the next-generation PIC200 platform targeting higher per-lane speeds. STM expects AI data center revenue to exceed \$1bn in 2026 and rise to well above \$2bn in 2027, with approximately 80% of the 2027 AI data center revenue expected to come from optical-connectivity products. While this figure includes complementary BiCMOS and other connectivity products and therefore should not be interpreted as pure SiPho revenue, it demonstrates the scale of STM's ambitions.
 - **Risk to Tower.** STM's capacity ramp, which is all on 12", we believe is one of the bigger threats to Tower's business. STM is later to the opportunity but has secured a big customer in AWS. If STM is able to win more customers this could impact Tower's growth. We do see STM as likely using price as a way to compete effectively as it is basically a new entrant, which could temper ASP growth opportunities for Tower/the industry too.
- **Samsung Electronics (Overweight)** unveiled its SiPho plans in OFC 2026 ([TheElec](#), 30/3/26) it unveiled a 300 mm PIC platform targeting 800G and 1.6T optical transceivers with a completed process-design kit and production readiness. The company reportedly plans to begin mass production with a leading optical-module manufacturer in 2H26, while its broader roadmap targets optical engines in 2027, integration with AI chips and a larger-scale production ramp in 2028, and turnkey CPO services by 2029. Its principal differentiation is the potential to combine SiPho with advanced logic, HBM and packaging within a single vertically integrated ecosystem. Samsung's SiPho business remains at an early commercial stage, with no disclosed revenue target or capacity outlook.

- **Risk to Tower.** Samsung's potential ability to provide a full suite of products in one place (logic, memory, optics) could be an attractive proposition. Given timelines are late this decade we think they will be playing catch up to Tower.

FIGURE 10. SiPho Foundry Comparison

Foundry	Pure-play foundry	8-inch	12-inch	1.6T Status	SiPho/CPO Position	SiPho 2026 Revenue (US\$)	Advanced packaging / 3D Integration	U.S. SiPho foundry
Tower Semiconductor	✓	✓	✓	Production	Independent SiPho foundry with production 1.6T pluggables and growing NPO/CPO focus	Q2 - 170M FY26 ~750M	Wafer-level bonding and 3D integration for SiPho/CPO packaging	✓
TSMC	✓	✓	✓	No direct commentary	Integrating SiPho with COUPE/CPO ecosystem	Negligible	SoIC hybrid bonding and COUPE integration platform	✗
GlobalFoundries	✓	✓	✓	Qualified	Mature pluggable, NPO/CPO architectures, with SCALE CPO platform	FY26 ~400M	W2W and D2W 3D integration, including hybrid-bonding capability	✓
UMC	✓	✓	✓	Production	Manufactures SiPho with SILITH partnership, expanding NPO/CPO capabilities	Not Disclosed	Expanding 3D integration and developing hybrid-bonding capabilities through Adecia licensing	✗
Intel	✗	✗	✓	Prototype	SiPho platform for OCI/optical chiplets, CPO roadmap and prototypes demonstrated	N/A	Foveros Direct 3D Cu-Cu hybrid bonding	✓
Samsung	✗	✓	✓	Roadmap	Emerging 12 inch SiPho platform, CPO roadmap through 2029	N/A	Advanced 2.5D/3D packaging; hybrid-bonding roadmap (Cube-H)	✗

Source: Barclays Research Estimates

Tower's competitive advantages

We believe Tower has a number of competitive advantages. We do not expect it to keep its market share at today's levels but we expect Tower to remain the leading foundry for SiPho products.

- **Open platform:** Tower operates an open foundry platform rather than offering a closed system limited to selected customers. Customers can use different laser and modulator technologies and retain flexibility over how they design the broader optical system. The platform is supported by a broad ecosystem of third-party IP and process design kits across the major design software providers, including collaborations such as OpenLight's InP-on-silicon photonics platform on Tower's PH18DA process. We think this flexibility is particularly attractive to module makers, merchant chip suppliers and hyperscalers that want to retain control of their product architecture rather than rely on a vertically integrated supplier.
- **First mover/early adopter:** Tower has established a leading position in 1.6T optical transceivers and also demonstrated a new technology achieving 400Gbps/lane data transmission paving the way for next generation 3.2T optical transceivers. Tower's strong SiPho position goes back to the 2008 merger with Jazz Technologies, which added Fab3 in Newport. Fab3 is the most mature US SiPho production fab which has been running high-volume SiPho for multiple years before other fabs ramped. Tower is now the incumbent at the leading edge: Tower has both the 200mm PH18 and 300mm PH45 platforms in high-volume production, which it describes as the leading SiPho platforms in the 400Gb/s to 1.6Tb/s market. For 2027E, we estimate US\$1.6bn of SiPho revenue.
- **Multi geography:** Tower manufactures SiPho across Israel, the US and Japan, with both 200mm and 300mm capacity. Fab 2, Fab 3 and Fab 9 provide 200mm SiPho capacity, while Fab 7 in Uozu is the main 300mm production site. Tower is also converting the former Fab 6 in

Arai into additional 300mm SiPho and advanced packaging capacity, with further expansion planned in Japan. We think this multi-fab footprint should become increasingly valuable as customers look to diversify supply chains and reduce reliance on individual manufacturing sites.

- **Tech roadmap:** Tower's roadmap extends from today's 400G/800G and 1.6T transceivers towards 3.2T, NPO and co-packaged optics. Tower also offers alternative approaches using III-V materials integrated with silicon, giving customers flexibility as optical architectures evolve. In parallel, Tower is adapting its established 300mm wafer-bonding technology to combine photonic and electronic chips more closely, giving it a route into future co-packaged optical systems.

Capacity & Manufacturing Footprint

Fab footprint today

Tower has its manufacturing facilities across three continents, with facilities in Israel, the US and Japan along with a collaborative arrangement in Italy. This footprint consists of a mix of 200mm and 300mm facilities which the company is strategically expanding, specifically for its silicon photonics (SiPho) and silicon germanium (SiGe) process platforms, to address surging demand from AI and data center communications. This geographic diversity with Tower's ability to produce the same chip in 3 different regions we see as a key differentiating factor in a world where supply chain security is seeing increasing importance.

200mm fabs

- **Fab 1 Migdl HaEmek, Israel:** It ceased its manufacturing operation for lower margin 150mm process flows in 1Q25 due to change in market dynamics and customer demand, this includes approx. 51900 Sq ft. of clean room area which is now being utilized to support adjacent Fab 2 production activities.
- **Fab 2 Migdl HaEmek, Israel:** It supports geometries ranging from 0.35 to 0.13 micron, using advance CMOS technology including SiPho, SiGe, RF SOI, CMOS image sensors, power platforms and mixed signal technologies. Total clean room area is approx. 100,000 sq ft (excluding the Fab 1 area), and SiPho wafer shipments started from 1Q 2026 onwards.
- **Fab 3 Newport Beach, US:** It supports geometries ranging from 0.8 to 0.13 microns, using advanced CMOS technologies, including SiPho, SiGe, RF SOI and MEMS. The fab has approximately 120,000 sq ft of clean room space and serves as the lead facility for SiPho business. It continues to operate at high utilisation rates while adding capacity to meet growing SiPho demand.
- **Fab 5 Tonami, Japan:** Fab 5 supports geometries range from 0.35 micron to 0.15 micron using CMOS technology including Power Discrete. This fab is set to be sold by April 2027.
- **Fab 9 San Antonio, US:** It supports geometries ranging from 0.8 to 0.18 micron using CMOS and analog based technologies, including RF SOI, SiGe and SiPho and currently ramping up SiPho production.

300mm fabs

- **Fab 7 Uozu, Japan :** Fab 7 supports 45nm and 65nm specialty platforms across technologies such as SiPho, SiGe, RF SOI, power and sensors. Tower is consolidating its RF SOI 300mm business to Fab 10, freeing up Fab 7 capacity for rapidly growing SiPho and SiGe businesses. Tower is set to gain full ownership of this fab by April 2027 as discussed below.
- **Fab 10 Agrate, Italy:** In Jun-21 Tower entered into an collaborative agreement with ST Microelectronics to share the facility being constructed by STM where tower has the right to use one-third of the total clean room space for its foundry customers. The facility supports an advanced 65nm analog RF SOI platform.

Tower's four out of six fabs run on 200mm wafers (Fab 2, Fab 3, Fab 5 and Fab 9) shows its historic focus on mature specialty analog process nodes for power management, sensors and RF technology, differentiating tower's niche from advanced node digital foundries. However the announced Japan restructuring deal is considered as a significant step in advancing to its long term 300mm strategy as management expects its majority business in long term to come from 300mm wafers driven by strong demand from AI and data center communications including next generation optical connectivity.

Fab Expansion plans

- TPSCo, Tower's Japan based joint venture with Nuvoton Technology Corporation (NTCJ), in which Tower holds a 51% stake, currently operates Fab 5 and Fab 7. In Mar-26 Tower signed an agreement to restructure its Japan operations under which tower will take full ownership of Fab 7 while NTCJ will take full ownership of Fab 5, to prevent disruption both companies have entered into mutual long-term supply agreement ensuring no disruption for existing customers across both fabs. The transaction is expected to close on 1 Apr 2027 subject to regulatory approvals and the satisfaction of customary closing conditions.
- In addition to restructuring its Japanese operations, Tower plans to significantly expand its 300mm manufacturing capacity in Japan. Following the subsidy approval from Japan's METI, Tower announced a dual-track strategic expansion in Jul-26 covering 300mm SiPho, SiGe and advanced packaging capabilities. Tower expects to invest approximately \$3bn in the project, including \$1bn in grants from METI.

Track one. Tower will add significant new 300mm SiPho capacity by repurposing the Arai facility in Japan (formerly Fab 6, ceased operations effective Jul-22) with full production readiness expected from fourth quarter of 2027 maximizing Fab 7 output. Track one is the driver behind management's upward revision of its 2028 revenue target to \$3.6bn from \$2.8bn previously.

Track two. Tower plans to construct a new 300mm manufacturing facility adjacent to Fab 7, which is expected to become highly accretive from the beginning of 2029. Management expects the facility, together with the capacity added under Track one, to result in an approximately 4x increase in Tower's Japanese 300mm manufacturing output.

- In Feb-26, Tower announced additional \$270m for equipment investment for SiPho capacity and next generation capabilities resulting in total investment of \$920m in SiPho and SiGe. It plans to complete the installation and full qualification of the entire \$920m capex through 2026 and 2027 (50% already paid till 2Q26, remaining 50% through 2H 2026 and 2027), the SiPho wafer start capacity for 4Q 2026 is targeted to be greater than three times the 2Q 2026 SiPho revenue shipment with full financial impact expected in 2Q 2027.
- Tower's significant expansion is supported by reservations from its lead customers worldwide with very strong contracts lasting through 2028. Management also mentioned that the 2028 revenue target was raised to \$3.6bn from \$2.8bn and is fully spoken for by its customers.
- Following the unprecedented demand for 1.6T products on the top of strong demand for 400G and 800G products Tower is simultaneously ramping up its SiPho capacity in US Fabs (Fab 3 and Fab 9), it also shipped first SiPho wafers from Israel Fab (Fab 2) in 1Q 2026

Tower's Strategic Partnership with ST Microelectronics

Tower entered into a collaborative arrangement with STMicroelectronics (STM) to access one-third of the total clean room area at STM's 300mm Agrate, Italy fab (Fab 10), wherein Tower installs and operates its own equipment within the allocated space, while overall fab operations are managed by STM. The structure is strategically beneficial for both parties as it enhances fab utilization and lowers cost per wafer, while enabling STM to share infrastructure costs and optimize capital efficiency. For Tower, the model provides a capital-light pathway to scale its 300mm RF SOI platforms without owning the fab, consistent with its brownfield led expansion strategy thereby reducing upfront capex and accelerating time to market.

The key differentiator

What makes Tower different from its peers is its multi-fab flexibility producing the same quality of processed wafers across its fabs in three different regions (Israel, The US and Japan) allowing

it to seamlessly shift production to wherever capacity is available or demand is higher, mitigating geopolitical risks such as potential tariff impacts while ensuring business continuity for its customers.

Key customer watch

We view InnoLight & Eoptolink as key drivers of Tower's silicon photonics wafer demand given their increasing SiPh penetration, accelerating 1.6T ramps and emerging NPO roadmaps.

InnoLight (top Chinese optical module vendor, not covered)

InnoLight is rapidly transitioning its portfolio toward high-speed AI interconnect products and silicon photonics. The company's 1.6T optical transceivers entered volume production in 2Q26 and have continued to ramp through the year. Management highlighted customer demand visibility extending into 2027 and noted that some key customers have provided demand indications for 2028 products, including 2.4T transceivers and NPO solutions. According to its HK IPO prospectus, the company plans to allocate c35% of the net proceeds (c\$7BN) towards R&D for 1.6T/3.2T optical transceivers and cutting-edge technologies including NPO and CPO; c30% towards global capacity expansion, targeting an annual optical transceiver capacity from c40mn to c90mn units by 2029; and c15% towards strategic acquisitions and investments along the optical supply chain.

According to chairman commentary in September 2026, InnoLight is advancing 12.8T XPO pluggable transceivers with the industry's first 12.8T 8xDR8 XPO transceiver demonstrated at OFC 2026 and the company is leveraging its accumulated expertise in silicon photonics, with more than 50% of high-speed product revenue already derived from SiPh-based products. In addition, approximately 50% of the company's manufacturing capacity is now located outside China, with yields having reached levels comparable to domestic facilities.

Eoptolink (top Chinese optical module vendor, not covered)

Eoptolink has been accelerating its 1.6T deployment and next-generation optical interconnect technologies. Per its 1H26 earning call in Sep, 800G products remained the primary shipment driver, with volumes continuing to increase in 2026, while 1.6T optical module shipments grew meaningfully in 2Q26 versus 1Q26, with management expecting a further acceleration in volume ramp through 2H26. Silicon photonics continued to gain share within the product mix and management expects the adoption trend to remain strong into 2027. The company states that its LPO products are progressing smoothly with key customers. Management expects initial NPO product shipments to commence in 2027, followed by a more meaningful volume ramp in 2028.

At OFC 2025, Eoptolink launched the second generation 1.6T transceivers using 3nm DSPs, offered in both silicon photonics and EML architectures. At OFC 2026, the company demonstrated its latest 12.8T XPO alongside 400G/lambda-1.6T DR4 and 200G/lambda-1.6T FRO/LRO/LPO series optical transceiver solutions. Per industry sources, Eoptolink has also been a key participant in next-generation NPO designs and scale-up optical solutions, including collaboration with NVIDIA for 6.4T/7.2T rack-scale optical interconnects and with Amazon for 3.2T ASIC direct connect solutions.

Key partnerships with customers

- **Marvell.** In Jun-26, Tower announced that, in partnership with Marvell, it has shipped over five million coherent photonic integrated circuits (PICs) to Marvell global customers. Marvell uses Tower's SiPho platform for advanced, energy efficient photonics solutions to address growing demand of data center interconnect networks. Coherent PICs design and process are

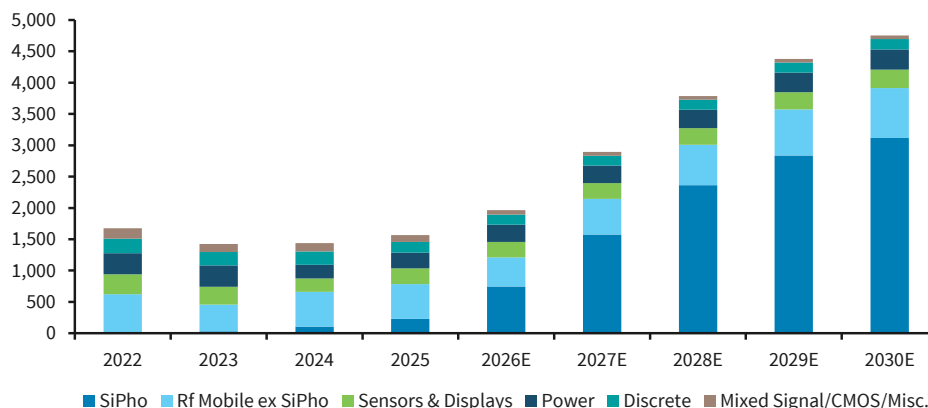
complex than simpler direct detect chips highlighting Tower's continuous evolution in optical transceiver to meet these requirements.

- **Nvidia.** In Feb-26, Tower announced scaling of SiPho for 1.6T data center optical transceivers designed for NVIDIA networking protocols. It also mentioned that its SiPho enables up to double the data rate compared to prior SiPho solutions providing increased bandwidth and throughput for optical connectivity, highlighting Tower's dominance in 1.6T optical transceivers. To avoid confusion, Tower is not a transceiver OEM, its PICs are designed by and shipped through module makers/integrators.
- **Coherent.** In Mar-26, Tower, in partnership with Coherent, demonstrated a new technology achieving 400Gbps/lane data transmission with silicon modulator using Tower's SiPho platform paving the way for next generation 3.2T optical transceivers.
- **China.** While Tower does not disclose its China revenue separately, Asia excluding Japan accounted for 39% of total revenue in 2025, compared with 33% in 2024 and 27% in 2023. China likely represents a meaningful portion of Tower's SiPho business through optical transceiver vendors such as InnoLight and Eoptolink, given the country's dominant position in optical transceivers manufacturing. In Mar-25, Tower announced the expansion of its partnership with one of its customers, InnoLight, an optical transceiver module maker, which will be using its newest SiPho platform, which reduces the number of optical components required outside the PIC, halving the number of lasers required per module, the solution boosts performance as well as reduces cost for its customers. However, the underlying demand is ultimately driven by global hyperscale AI deployments rather than domestic Chinese consumption.

Forecasts

We forecast SiPho revenue to grow at a 69% CAGR over 2025-2030, increasing from 15% of group revenue to 66% by 2030. This mix shift underpins a 25% group CAGR. With continued photonics demand, this supports SiPho becoming Tower's growth driver through 2030E.

FIGURE 11. Segment revenue (US\$m)



Source: Company Data, Barclays Research Estimates

Tower has continually upgraded its medium term plan as SiPho strength surpasses expectations. We expect another update sometime in early 2027.

FIGURE 12. Tower Semiconductor's mid-term targets

Metric	FY 2025	Feb' 2026 Model	Growth Multiple	Updated Aug' 2026 Model	\$M Increase	% of Incremental Revenue	Barclays 2028E	Consensus 2028E
Revenue	1,566	2,840	1.3X	3,600	760		3,787	3,564
Gross Profit	364	1,120	1.5X	1,630	510	67%	1,704	1,588
Operating Profit	194	900	1.5X	1,380	480	63%	1,439	1,400
Net Profit	220	750	1.6X	1,200	450	59%	1,194	1,242

Source: Company Data, Barclays Research Estimates, Bloomberg

FIGURE 13. Drivers

USDm, Dec FY	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
RF Infrastructure	120	170	196	235	142	244	423	967	1,895	2,748	3,297	3,627
- YoY growth	-	42%	15%	20%	(39%)	72%	73%	129%	96%	45%	20%	10%
o/w SiPho	-	-	-	-	28	106	228	746	1,575	2,363	2,835	3,119
- YoY growth	-	-	-	-	-	279%	115%	227%	111%	50%	20%	10%
RF Mobile	263	280	377	386	313	416	360	246	248	260	273	287
- YoY growth	-	6%	35%	2%	(19%)	33%	(14%)	(32%)	1%	5%	5%	5%
Sensors & Displays	197	230	226	319	285	215	251	242	253	266	279	293
- YoY growth	-	16%	(2%)	41%	(11%)	(24%)	16%	(3%)	4%	5%	5%	5%
Power	262	195	226	336	341	215	251	275	281	295	310	326
- YoY growth	-	(26%)	16%	48%	2%	(37%)	16%	10%	2%	5%	5%	5%
Discrete	207	210	226	235	213	215	172	165	157	159	160	162
- YoY growth	-	1%	8%	4%	(9%)	1%	(20%)	(4%)	(5%)	1%	1%	1%
Mixed Signal/CMOS/Misc.	185	181	256	168	128	129	110	71	59	59	60	61
- YoY growth	-	(2%)	42%	(35%)	(24%)	1%	(15%)	(35%)	(17%)	1%	1%	1%
Total	1,234	1,266	1,508	1,678	1,423	1,436	1,566	1,966	2,893	3,787	4,380	4,755
- YoY growth	-	3%	19%	11%	(15%)	1%	9%	26%	47%	31%	16%	9%

Source: Company Data, Barclays Research Estimates

FIGURE 14. P&L

USDm, Dec FY	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total revenue	1,234	1,266	1,508	1,678	1,423	1,436	1,566	1,966	2,893	3,787	4,380	4,755
- YoY Total Revenue Growth	-5%	3%	19%	11%	-15%	1%	9%	26%	47%	31%	16%	9%
Adjusted Gross Profit	230	233	329	466	354	339	364	624	1,168	1,704	2,015	2,235
Adjusted Gross Margin	19%	18%	22%	28%	25%	24%	23%	32%	40%	45%	46%	47%
Operating income	87	91	167	312	547	191	194	412	865	1,399	1,668	1,862
Operating margin	7%	7%	11%	19%	38%	13%	12%	21%	30%	37%	38%	39%
Adjusted Operating Income	104	110	194	331	276	224	234	466	936	1,439	1,708	1,902
Adjusted Operating Margin	8%	9%	13%	20%	19%	16%	15%	24%	32%	38%	39%	40%
Profit before tax - reported	91	89	155	292	585	217	240	467	925	1,369	1,638	1,832
Adjusted Profit Before Tax	109	107	182	311	313	251	280	522	996	1,409	1,678	1,872
Tax	-3	-5	-1	-26	-65	-10	-22	-65	-139	-219	-278	-330
Net income - reported	90	82	150	265	518	208	220	402	791	1,154	1,364	1,506
Adjusted Net Income	108	101	177	284	247	241	260	456	861	1,194	1,404	1,546
EPS diluted - reported	0.84	0.76	1.37	2.39	4.66	1.85	1.94	3.51	6.91	10.09	11.92	13.16
Adjusted Diluted EPS	1.00	0.93	1.61	2.56	2.22	2.15	2.29	3.99	7.53	10.43	12.27	13.51

Source: Company Data, Barclays Research Estimates

FIGURE 15. Cash Flow

USDm, Dec FY	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	88	83	154	266	520	207	219	402	787	1150	1360	1502
Depreciation and amortization	214	241	271	293	258	266	303	351	477	611	742	830
Other adjustments	19	9	8	30	4	48	31	81	139	219	278	330
Changes in assets and liabilities	-17	-59	-3	-47	-92	-50	-137	259	8	114	-36	-39
Net cash from operations	291	277	421	530	677	449	395	1032	1271	1875	2066	2293
Capital expenditures	-172	-257	-279	-214	-432	-432	-437	-786	-1013	-1136	-1095	-951
Proceeds from (investments in) deposits and other assets	-133	-107	-60	-116	-289	31	38	-330	0	0	0	0
Net cash from investing activities	-305	-364	-339	-329	-721	-400	-398	-1116	-1013	-1136	-1095	-951
Proceeds from (payments of) debt	-19	-64	-77	-78	-32	-32	-33	-28	-26	0	-35	-30
Net cash from financing activities	-18	-61	-77	-67	-30	-32	-33	-28	-26	0	-35	-30
Net change in cash & equivalents	-30	-144	-1	130	-80	11	-37	-113	233	739	936	1312
Foreign exchange adjustment	2	4	-6	-4	-5	-5	-1	-2	0	0	0	0
Cash & equivalents at beginning of period	385	356	212	211	341	261	272	235	120	353	1092	2029
Cash & equivalents at end of period	356	212	211	341	261	272	235	120	353	1092	2029	3340

Source: Company Data, Barclays Research Estimates

Barclays vs Consensus

We are mid-to-high single digits ahead on top line growth across 2027 and 2028 as well as ahead on gross margins.

FIGURE 16. Barclays vs Consensus

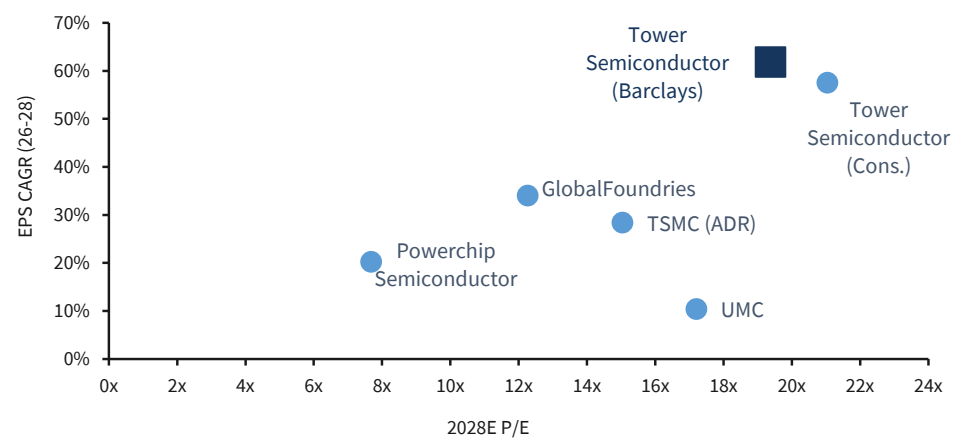
\$ M, Dec FY	Barclays Estimates			Bloomberg Consensus			Delta		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	1,966	2,893	3,787	1,967	2,714	3,564	0%	7%	6%
Gross margin	32%	40%	45%	31.7%	39.0%	44.6%	0.1pp	1.4pp	0.4pp
EBIT - adj.	466	936	1439	433	843	1,400	8%	11%	3%
EPS - adj., diluted	3.99	7.53	10.43	3.86	6.19	9.86	3%	22%	6%

Source: Barclays Research estimates, Bloomberg

Valuation

We currently model a >60% EPS CAGR, which is the highest in the foundry peer set. We model Tower trading at c19x 28 P/E, slightly ahead of foundry peers despite its strong SiPho earnings potential. We would expect some level of dispersion in foundry valuations given different end market exposures and risk profiles.

FIGURE 17. 2028 P/E vs EPS CAGR (2026-28)



Source: Barclays Research estimates, Bloomberg

A 60% EPS CAGR on an 19x 28E P/E multiple yields a PEG of 0.31x on our forecasts. We see this as attractive relative to its direct peers.

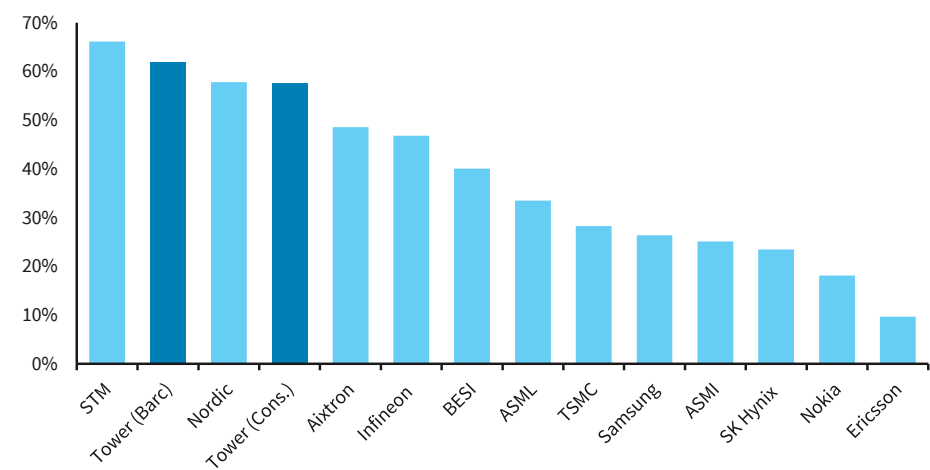
FIGURE 18. 2028 PEG ratio peer comparison

Company	2028 PEG
Tower Semiconductor (Barcs est)	0.31x
Tower Semiconductor (Cons.)	0.37x
TSMC (ADR)	0.53x
UMC	1.64x
GlobalFoundries	0.36x
Powerchip Semiconductor	0.38x

Source: Barclays Research estimates, Bloomberg

We also note that consensus earnings expectations for Tower are among the very top across our coverage, with our estimates higher.

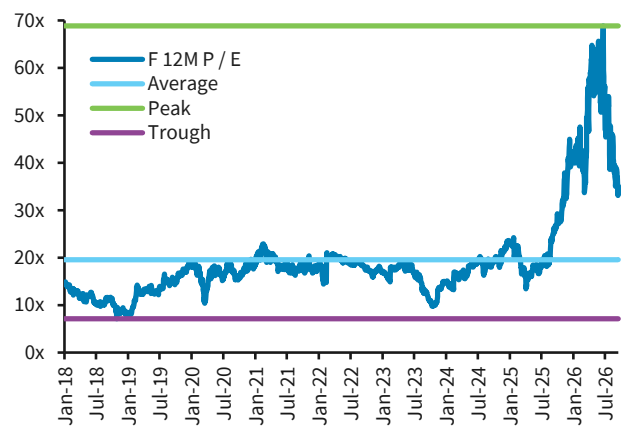
FIGURE 19. 26-28E EPS CAGR Tower vs broader tech hardware coverage



Source: Barclays Research, Bloomberg.

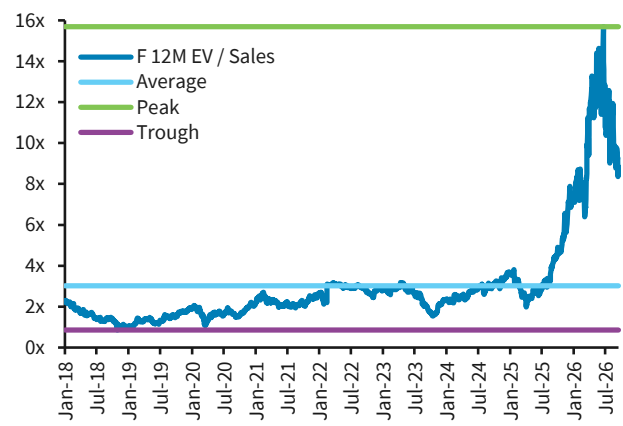
Finally, we show historical valuations, with Tower Semiconductor having recently come down from its peak due to the selloff in semis in the past couple of months.

FIGURE 20. Forward 12M P/E



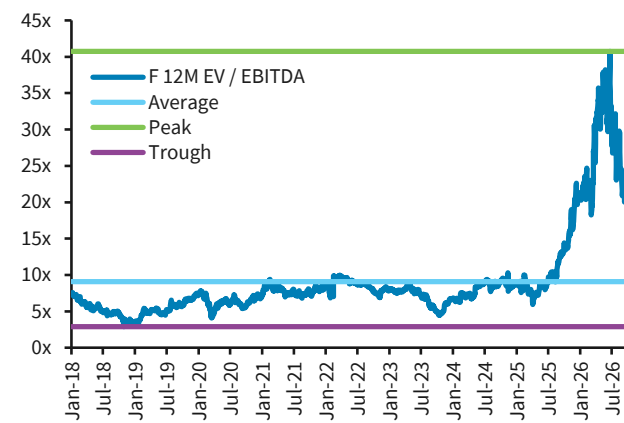
Source: Bloomberg

FIGURE 21. Forward 12M EV/Sales



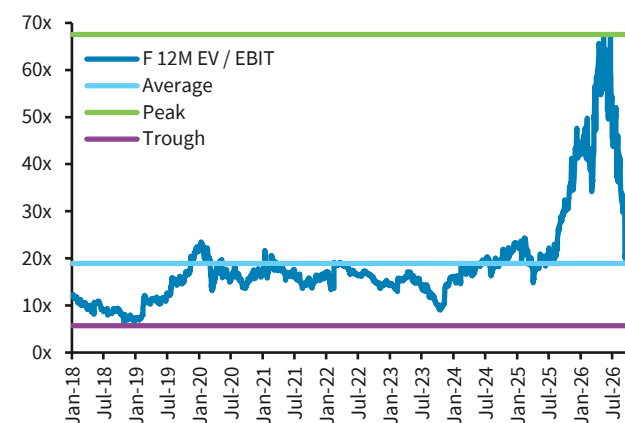
Source: Bloomberg

FIGURE 22. Forward 12M EV/EBITDA



Source: Bloomberg

FIGURE 23. Forward 12M EV/EBIT



Source: Bloomberg

Risks

Risks to our OW rating include:

- **PIC dies stop growing.** We assume that PIC dies grow 10-50% as speed requirements increase. This isn't necessarily required to deliver faster speeds but the relentless pace of the industry means there is little time for optimisation of chip sizes. Thus Tower's SiPho revenue growth is driven by volumes (more ports), bigger chips and moves to higher speeds. If chip sizes start to be optimised, then one vector of growth could be removed.
- **US Sanctions.** On 4 August 2026 [Reuters](#) reported that the US Federal Communications Commission (FCC) is drafting a measure that would prohibit US imports of new models of Chinese optical transceiver modules used in data centers. Officials reportedly aim to publish the measure this year with the restriction taking effect on publication, although the FCC could still modify or shelve it. The proposed restriction could have a significant impact on InnoLight, one of the world's largest optical transceiver supplier, which generated c.62% of its revenue from the US in 1Q26. It could also materially affect Eoptolink, another major Chinese supplier of optical transceiver modules, given that overseas markets accounted for c.96% of its 2025 revenue. The potential implications for Tower could be significant because InnoLight and Eoptolink are material customers for Tower's SiPho business. However, the scope of the proposed restriction remains unclear, including whether it would cover products supplied by Chinese-owned companies but manufactured outside China.
- **Customer concentration.** Customer concentration isn't disclosed, but we think it is a relevant risk to consider, particularly in silicon photonics. Given Tower's market share, we think pluggable market share is a reasonable proxy for Tower's customer concentration in SiPho. We believe InnoLight and Eoptolink are significant customers, which brings some geopolitical risk. Any issues at major customers could adversely impact SiPho growth and therefore group growth.
- **Competition.** As discussed above, there are numerous well resourced competitors entering the SiPho market. We see Tower well placed to still grow its business, but the competition raises concerns around ASP sustainability. A deterioration in ASPs could materially reduce group growth and pressure gross margins.
- **AI buildout slows.** As with most AI-related semi names, any slowdown in GW deployments would be negative for Tower as it could lead to lower SiPho demand. Any slowdown though would hit the entire sector, not just Tower.
- **AI scaling laws break.** If models stop getting larger, then the quantum of data being transferred within the data centre could stop growing as quickly, which would reduce pressure to expand to faster speed interconnections. We think this would temper nearer term growth but medium/longer term growth would still be attractive.
- **NPO/CPO arrives later than expected.** NPO/CPO are seen as the next stage to increase data speeds even faster as fibre is brought closer to the chip. This could be a meaningful ASP tailwind for Tower and peers. Any delay in adoption could limit ASP growth with the growth algorithm then relying largely on volumes. We would see this as a temporary issue, as we think the transition is largely inevitable, at the least to NPO.

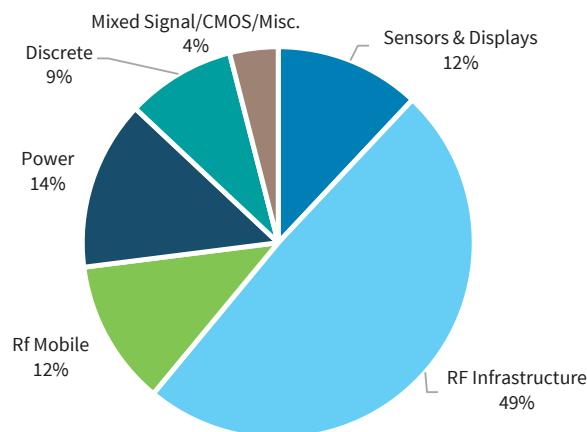
Company Overview

Business model

Tower is a leading pure play specialty analog foundry with more than thirty years in the industry, manufacturing processed wafers for customers across consumer, industrial, automotive, mobile, infrastructure, medical and aerospace & defence markets. It also provides design enablement support and complementary technical services. As a pure-play foundry, it does not sell its own chips and does not compete with its customers.

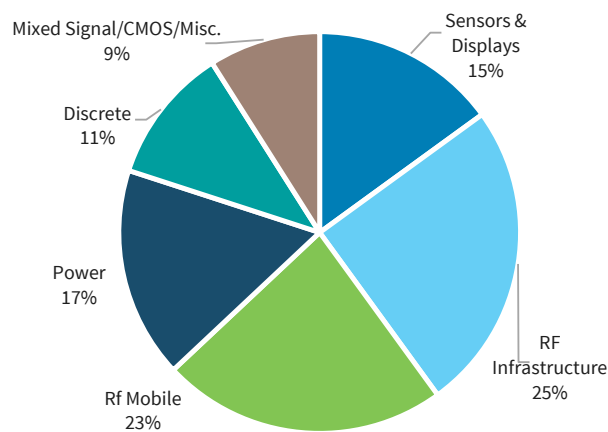
Below we show Tower's latest revenue split by business segment.

FIGURE 24. Q2 26 Segment revenue



Source: Company Data

FIGURE 25. Q2 25 Segment revenue



Source: Company Data

Process platforms

Tower offers wide range of customised analog technologies like Radio Frequency and High-Performance analog, Power management, CMOS Image Sensors, Non Imaging Sensors and MEMS to its diversified customer base.

Radio Frequency and High Performance Analog

SiPho

Silicon photonics is a technology that uses light instead of electrical signals to transmit data. It integrates photonic (light-based) components onto silicon chips to enable high-speed optical data transmission using standard semiconductor processes.

Tower's high-volume SiPho process platform integrates optical components (e.g., detectors, waveguides, modulators) on silicon, replacing discrete optical parts to deliver compact, energy-efficient, and cost-effective solutions.

Photonic integrated circuits manufactured on Tower's SiPho process platform are primarily incorporated into pluggable optical transceiver modules. On the transmit side, optical modulators encode incoming electrical data onto laser light, while waveguides route the modulated light towards the optical fibre. On the receive side, photodetectors convert incoming light from the fibre back into electrical signals. The photonic integrated circuit is then packaged with a laser and supporting electronic components to form a complete optical transceiver module for high-speed data transmission across AI and data center networks.

SiGe

Silicon-germanium refers to a semiconductor technology that combines silicon and germanium in transistor design to achieve exceptional high-frequency and analog performance. Tower's SiGe is a leading platform for radio frequency and high-speed analog applications; its SiGe-based heterojunction bipolar transistors (HBTs), integrated with CMOS (BiCMOS), delivers more than 300GHz speed along with low-noise performance for high-frequency wireless communication and high-speed networking applications ranging from satellite communication, automotive radar to optical transceivers for data centers. It also supports low-noise receivers (e.g., smartphones and GPS) as well as high-power transmitters for mobile and IoT devices. Tower's SiGe platform is also used in pluggables for the TIA and in some customers for EICs.

Rf SOI and Rf CMOS

Tower offers an advanced RF front-end platform that combines RF-SOI (silicon-on-insulator) and RF-CMOS technologies for high-performance 4G/LTE & 5G front-end modules (FEMs). The RF-SOI process delivers very strong RF performance, including low signal loss and high signal quality. This enables key components such as RF switches, antenna tuners, and low-noise amplifiers to work more efficiently within 4G/5G systems.

BCD (Power management)

Tower's BCD power management platforms are designed to deliver high efficiency and performance across a wide voltage range (up to ~700V). The technology combines bipolar, CMOS, and DMOS transistors on a single chip, enabling efficient and highly integrated power management ICs used in applications such as motor drivers, DC-DC converters, PMICs, battery management, and LED drivers. Tower offers BCD on 65nm (up to ~24V) and 180nm (up to ~700V) nodes, supporting both low- and high-voltage applications.

Sensors and Displays**CMOS Image Sensors (CIS)**

Tower is a leading CMOS image sensor foundry with extensive pixel design expertise and a ability to deliver customized, high-performance sensors for diverse markets. Its 180nm (200mm) and 65nm (300mm) CIS platforms support advanced features like frontside/backside illumination (FSI/BSI), global shutter, wafer stacking (Cu-to-Cu hybrid bonding), and reticle stitching enabling sensors from millimeter scale up to full wafer-size with best-in-class image quality. These capabilities serve a wide array of applications from industrial & medical imaging to high-end photography, automotive vision, mobile devices, and emerging 3D/AR sensors.

Display

Tower's display solutions leverage its CMOS and image sensor expertise to enable advanced micro-display technologies (LCOS, Micro-OLED, Micro-LED) for AR/VR and XR applications. The platform supports high-brightness, low-leakage displays with fine pixel pitch and high pixel density, delivering life-like image quality. Available on 65nm (300mm) and 180nm (200mm) nodes, Tower's display backplane technologies offer scalable manufacturing, stitching for large formats, and high-yield production for next-generation immersive devices.

Non Image Sensors

Tower's non-imaging sensor platform extends its CMOS capabilities to enable diverse sensing solutions (e.g., radiation, temperature, magnetic, UV, gas/humidity) for industrial, automotive, medical, IoT, and environmental applications. The technology delivers high sensitivity, reliability, and low-power/battery-less operation, with strong integration into CMOS-based systems.

MEMS

Tower's MEMS platform provides cost-effective, scalable solutions for devices such as microphones and accelerometers, leveraging CMOS-compatible manufacturing for high-volume production across growing sensor markets.

End-market exposure

Infrastructure

Infrastructure is Tower's fastest growing application in 2025 with revenue up by 75% YoY driven by rapid adoption of SiPho and SiGe in optical networking system in AI data centers. Its other market includes Telecom Infra (like transceivers used in 5G wireless infrastructure)

Automotive

Tower's analog chip technologies have broad automotive exposure, supporting trends in electrified autonomous vehicles. The company provides power-management chips (for controlling motors, power conversion, battery systems, LEDs in EVs), CMOS image sensors (global shutter technology for gesture control and passenger monitoring , SPAD pixels for LiDAR), non image sensors (for passenger health and proximity monitoring), and high-frequency RF chips (used in automotive radar and vehicle connectivity like V2X/5G).

Aerospace & Defense

Tower provides advanced and sophisticated solutions including SiPho for optical communication, large format ROICs (readout integrated circuits) for Infrared application and systems, visible imaging and SiGe BiCMOS devices for radar, radio and high speed data communications to variety of companies working in this space including US government projects through its ITAR certified Fab 3 (Newport Beach, USA).

Mobile

Tower's Rf SOI is working proactively with customers to responsibly reduce exposure from lower margin controller offerings (200mm) for higher value Rf mix produced on advance nodes in 300mm. In Q3 2025 they presented a updated Rf SOI technology with substantial improvement of Ron-Coff compared to its peers and reduction of total layer counts by 15% improving margins for Tower and customers alike. In 2025 they won three out of top four Tier 1 Rf front-end module providers as customers showing growth momentum in 300mm RF SOI business.

Industrial

Tower's industrial exposure is likely tied to its CIS and BCD platforms where Industrial sensors are migrating from 200mm to 300mm platforms to enable denser logic, smaller form factor and higher resolution pixels. Its 180nm BCD platform is scalable from 12V to 200V operation suitable for motor controllers and industrial power applications. Its 65nm BCD platform addresses the largest portion of the power IC market, supporting operation from 3.3V to 24V for products such as Industrial PMICs and battery management.

Medical and Consumer

Tower's medical segment revolves around CMOS image sensors for digital X-ray and dental imaging. In consumer Tower began production of silicon backplane for OLED on silicon for AR/VR display segment. CMOS image sensors for high end photography including broadcasting cameras.

Customer model

The primary customers of Tower's foundry and design services are fabless semiconductor companies and Integrated Device Manufacturers (IDMs) including module integrators that use its specialised process platforms.

- Tower provides the process platform, design support and complementary technical services to its fabless customers to convert their designs into processed wafer enabling them to access specialised technology of Tower which will be difficult to build internally. It is also beneficial for Tower as customised processes are difficult for customers to replicate with competing foundries thereby increasing switching cost.
- IDM's can use Tower's secure process transfer services including development, transfer and optimization on the basis of their needs across all its fabs and process platforms. Tower provides IDM's with dual source, risk diversification and cost effective strategy as they can outsource mature or specialized processes while focusing internal resources elsewhere.
- Tower also supports co-development of novel products based on customers needs along with full technical support and project management. This creates a more embedded relationship than standard foundry outsourcing and can support durable revenue streams, particularly where customer products require long qualification cycles, high reliability, supply continuity and process-level differentiation.

Analyst(s) Certification(s):

We, Simon Coles, CFA and Bernd Klanten, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Stocks (Ticker, Date, Price)

Tower Semiconductor Ltd (TSEM.O, 16-Sep-2026, USD 202.20), Overweight/Neutral, CE/FA/J

Materially Mentioned Stocks (Ticker, Date, Price)

Intel Corp. (INTC, 16-Sep-2026, USD 101.05), Equal Weight/Neutral, A/CD/CE/D/E/J/K/L/M/N

STMicroelectronics NV (STM.PA, 17-Sep-2026, EUR 42.44), Equal Weight/Neutral, CD/CE/FA/J

Samsung Electronics Co Ltd (0593xq.L, 17-Sep-2026, USD 4716.00), Overweight/Neutral, CD/J/K/M/N

Taiwan Semiconductor Manufacturing Company (TSM, 16-Sep-2026, USD 417.72), Overweight/Neutral, CD/CE/J/K/M

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In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

Stock Rating

Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

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European Technology Hardware

Aixtron (AIXGn.DE)	ams OSRAM (AMS.S)	ASM International N.V. (ASMI.AS)
ASML Holding NV (ASML.AS)	BE Semiconductor Industries NV (BESI.AS)	Ericsson (ERICb.ST)
Infineon Technologies AG (IFXGn.DE)	Nokia (NOKIA.HE)	Nordic Semiconductor ASA (NOD.OL)

Samsung Electronics Co Ltd (0593xq.L)	SK Hynix Inc.. ADR (SKHY)	Soitec (SOIT.PA)
STMicroelectronics NV (STM.PA)	Taiwan Semiconductor Manufacturing Company (TSM)	Tower Semiconductor Ltd (TSEM.O)

U.S. Semiconductors & Semiconductor Capital Equipment

Advanced Micro Devices (AMD)	Allegro Microsystems (ALGM)	Analog Devices (ADI)
Applied Materials Inc. (AMAT)	Arm Holdings plc (ARM)	Astera Labs, Inc. (ALAB)
Broadcom Inc. (AVGO)	Camtek (CAMT)	Cerebras Systems Inc. (CBRS)
Cirrus Logic Inc. (CRUS)	Coherent Corp. (COHR)	Credo Technology Group (CRDO)
Intel Corp. (INTC)	KLA Corporation (KLAC)	Lam Research Corporation (LRCX)
Lumentum Holdings Inc. (LITE)	MACOM Technology Solutions Holdings, Inc. (MTSI)	Marvell Technology Group, Ltd. (MRVL)
Microchip Technology (MCHP)	Micron Technology, Inc. (MU)	Nova Limited (NVMI)
NVIDIA Corp. (NVDA)	NXP Semiconductors NV (NXPI)	ON Semiconductor (ON)
Penguin Solutions (PENG)	Qorvo Inc. (QRVO)	QUALCOMM, Inc. (QCOM)
Sandisk Corporation (SNDK)	Seagate Technology plc (STX)	Silicon Laboratories, Inc. (SLAB)
SiTime Corporation (SITM)	Skyworks Solutions, Inc. (SWKS)	Synaptics Incorporated (SYNA)
Texas Instruments, Inc. (TXN)	Veeco Instruments Inc (VECO)	Western Digital Corporation (WDC)

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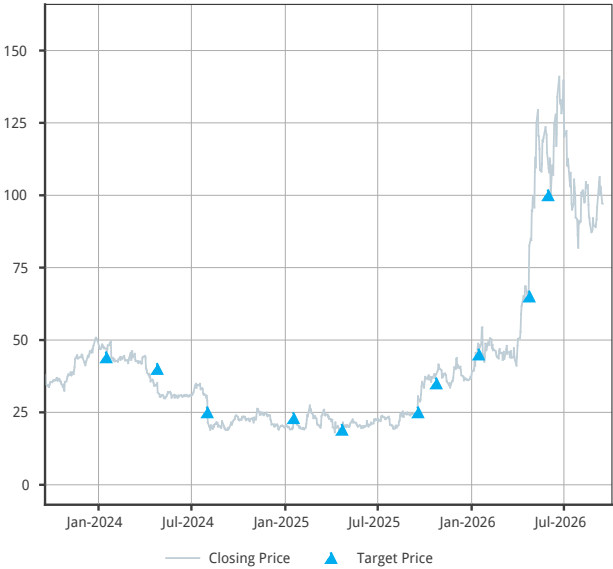
Intel Corp. (INTC / INTC)

Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 101.05** (16-Sep-2026)

Rating and Price Target Chart (as of 16-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
31-May-2026	114.68		100.00	USD
24-Apr-2026	66.78		65.00	USD
15-Jan-2026	48.72		45.00	USD
24-Oct-2025	38.16		35.00	USD
18-Sep-2025	24.90		25.00	USD
22-Apr-2025	18.84		19.00	USD
17-Jan-2025	19.67		23.00	USD
01-Aug-2024	29.05		25.00	USD
25-Apr-2024	35.11		40.00	USD
16-Jan-2024	47.12		44.00	USD

On 17-Sep-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 32.00 USD.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of \$100 is based upon 45x our CY27 PF EPS of \$2.20.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our thesis on the upside include continued PC growth at above historical rates, better share in PC and Server markets, technology transitions accelerating, and poor execution by AMD. Risks to the downside include PC share loss, continued DC share loss, or material destruction of book value.

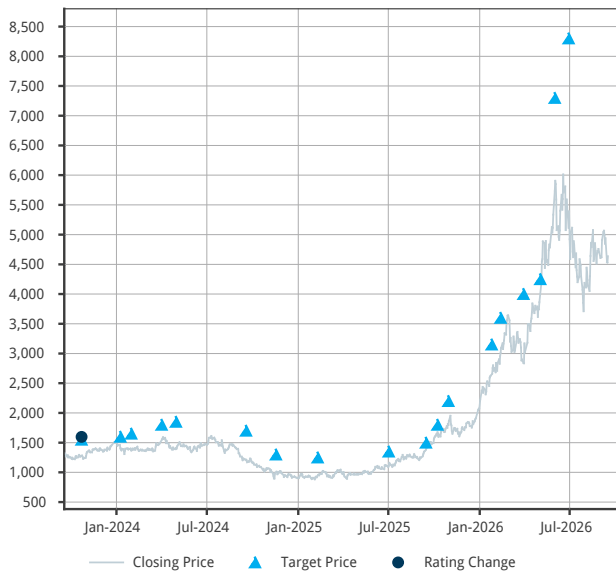
Samsung Electronics Co Ltd (SMSN LI / 0593xq.L)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 4716.00** (17-Sep-2026)

Rating and Price Target Chart (as of 17-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
29-Jun-2026	5470.00		8300.00	USD
01-Jun-2026	5740.00		7300.00	USD
03-May-2026	3862.00		4250.00	USD
30-Mar-2026	2900.00		4000.00	USD
12-Feb-2026	3010.00		3600.00	USD
25-Jan-2026	2626.00		3150.00	USD
30-Oct-2025	1815.00		2200.00	USD
08-Oct-2025	1643.00		1800.00	USD
15-Sep-2025	1382.00		1500.00	USD
02-Jul-2025	1110.00		1350.00	USD
09-Feb-2025	916.50		1250.00	USD
17-Nov-2024	983.50		1300.00	USD
18-Sep-2024	1212.00		1700.00	USD
30-Apr-2024	1409.00		1850.00	USD
01-Apr-2024	1487.00		1800.00	USD
31-Jan-2024	1368.00		1650.00	USD
09-Jan-2024	1406.00		1600.00	USD
23-Oct-2023	1264.00	Overweight	1550.00	USD

Source: Bloomberg, Barclays Research

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Valuation Methodology: We value Samsung at 3.0x 2027E P/Book, which implies inline P/E multiple with what we use for peers, as we see the strength in the memory market supporting all players.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks to our investment thesis include 1) loss of market share in foundry due to strong competition; 2) prolonged macro weakness limits revenue growth; and 3) China achieving self-sufficiency in advanced semiconductor manufacturing and consumer electronics leading to a loss of revenues from China.

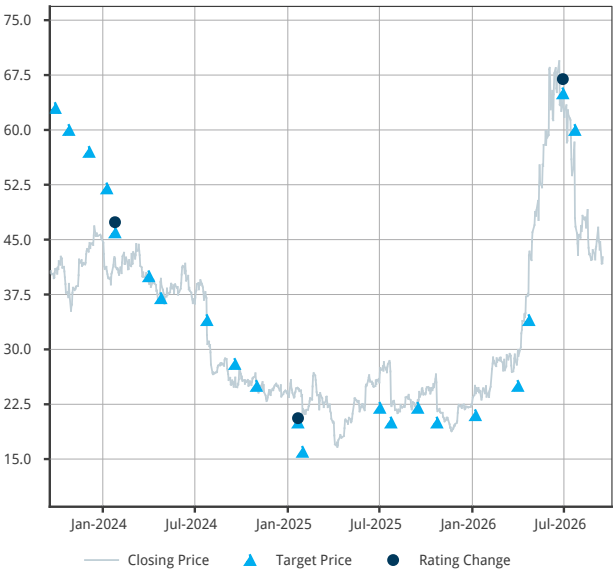
STMicroelectronics NV (STM FP / STM.PA)

Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 42.44** (17-Sep-2026)

Rating and Price Target Chart (as of 17-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
23-Jul-2026	47.95	Equal Weight	60.00	EUR
29-Jun-2026	62.58		65.00	EUR
23-Apr-2026	42.87		34.00	EUR
01-Apr-2026	28.61		25.00	EUR
07-Jan-2026	24.70		21.00	EUR
23-Oct-2025	21.89		20.00	EUR
15-Sep-2025	23.09		22.00	EUR
24-Jul-2025	22.50	Underweight	20.00	EUR
02-Jul-2025	26.83		22.00	EUR
30-Jan-2025	21.24		16.00	EUR
21-Jan-2025	24.68		20.00	EUR
31-Oct-2024	25.77		25.00	EUR
18-Sep-2024	25.25		28.00	EUR
25-Jul-2024	31.96		34.00	EUR
25-Apr-2024	39.22	Equal Weight	37.00	EUR
01-Apr-2024	39.92		40.00	EUR
25-Jan-2024	42.41		46.00	EUR
09-Jan-2024	40.70		52.00	EUR
05-Dec-2023	43.37		57.00	EUR
26-Oct-2023	37.13		60.00	EUR
29-Sep-2023	39.82		63.00	EUR

On 17-Sep-2023, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 65.00 EUR.

Source: Bloomberg, Barclays Research

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Valuation Methodology: We value STM using a 2028E P/E of 20x, in line with peers. STM has generally traded at a discount to peers in recent years but its AI exposure has improved justifying a more in line multiple in our view.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks to the upside include 1) faster cycle recovery leading to accelerated recovery in revenues; 2) STM's China for China strategy allows it to continue to deliver business in China; 3) it reassures on its CMD targets, with better-than-expected cost management and delivers on accelerated growth drivers; 4) AI and/or satellite revenues surprise to the upside.

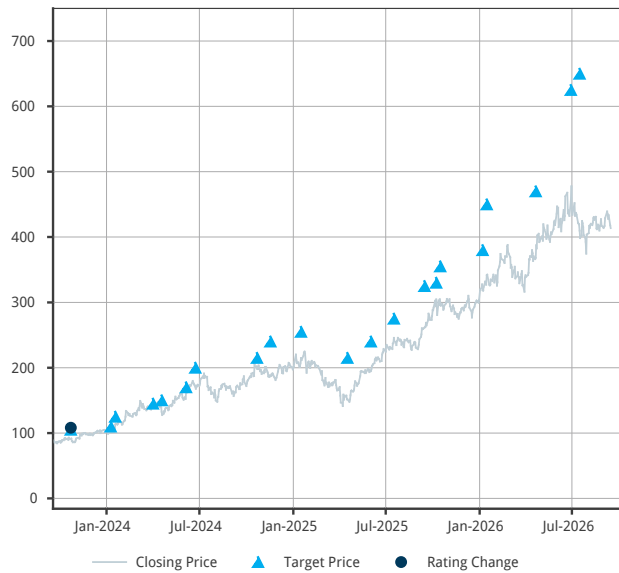
Taiwan Semiconductor Manufacturing Company (TSM / TSM)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 417.72** (16-Sep-2026)

Rating and Price Target Chart (as of 16-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
16-Jul-2026	419.48		650.00	USD
29-Jun-2026	432.35		625.00	USD
21-Apr-2026	366.24		470.00	USD
15-Jan-2026	327.11		450.00	USD
07-Jan-2026	327.43		380.00	USD
16-Oct-2025	304.71		355.00	USD
08-Oct-2025	302.40		330.00	USD
15-Sep-2025	261.38		325.00	USD
17-Jul-2025	237.56		275.00	USD
02-Jun-2025	193.32		240.00	USD
17-Apr-2025	151.67		215.00	USD
16-Jan-2025	206.80		255.00	USD
17-Nov-2024	186.01		240.00	USD
22-Oct-2024	201.95		215.00	USD
23-Jun-2024	173.96		200.00	USD
05-Jun-2024	152.47		170.00	USD
18-Apr-2024	139.03		150.00	USD
01-Apr-2024	136.05		145.00	USD
18-Jan-2024	102.95		125.00	USD
09-Jan-2024	101.89		110.00	USD
23-Oct-2023	91.31	Overweight	105.00	USD

Source: Bloomberg, Barclays Research

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Valuation Methodology: We value TSMC at 28x 2028E P/E, a premium to its historical average due to its strong market position.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks to our investment thesis include 1) prolonged macro weakness limits revenue growth; 2) lower demand at leading edge nodes due to limited improvements; and 3) China achieving self-sufficiency in advanced semiconductor manufacturing leading to a loss of revenues from China.

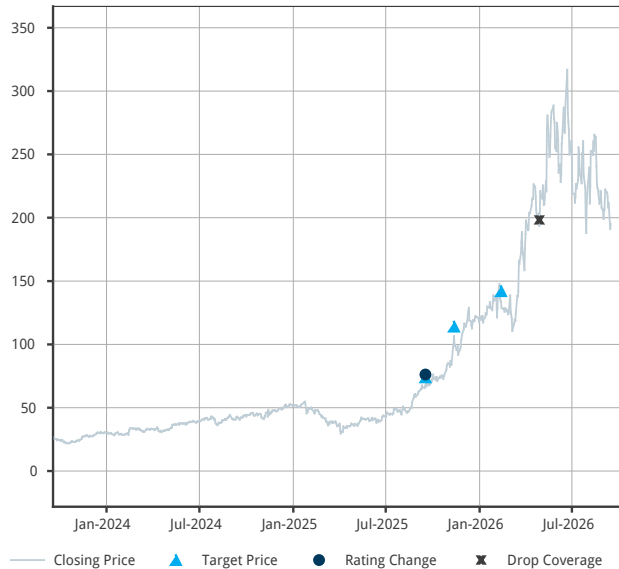
Tower Semiconductor Ltd (TSEM US / TSEM.O)

Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 202.20** (16-Sep-2026)

Rating and Price Target Chart (as of 16-Sep-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
21-Apr-2026	216.72	Coverage Dropped		USD
12-Feb-2026	133.58		142.00	USD
12-Nov-2025	98.10		114.00	USD
17-Sep-2025	68.81	Equal Weight	74.00	USD

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our \$310 PT is based on a 30x 2028 P/E multiple. Our multiple is justified by a >60% EPS CAGR and significantly evolving business mix, as we estimate silicon photonics becomes 62% of revenue by 2028.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks include potential PIC die-size stabilization, which would remove one growth lever; US restrictions on Chinese optical module vendors, which are believed to be important Tower customers; customer concentration risk; increasing competition and ASP pressure from new SiPho foundries; and any slowdown in AI infrastructure spending or AI scaling trends. Longer term, the adoption of NPO/CPO architectures is viewed as an important ASP and content-growth driver, although delays in deployment could shift growth to rely more heavily on unit volumes rather than richer SiPho content.

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